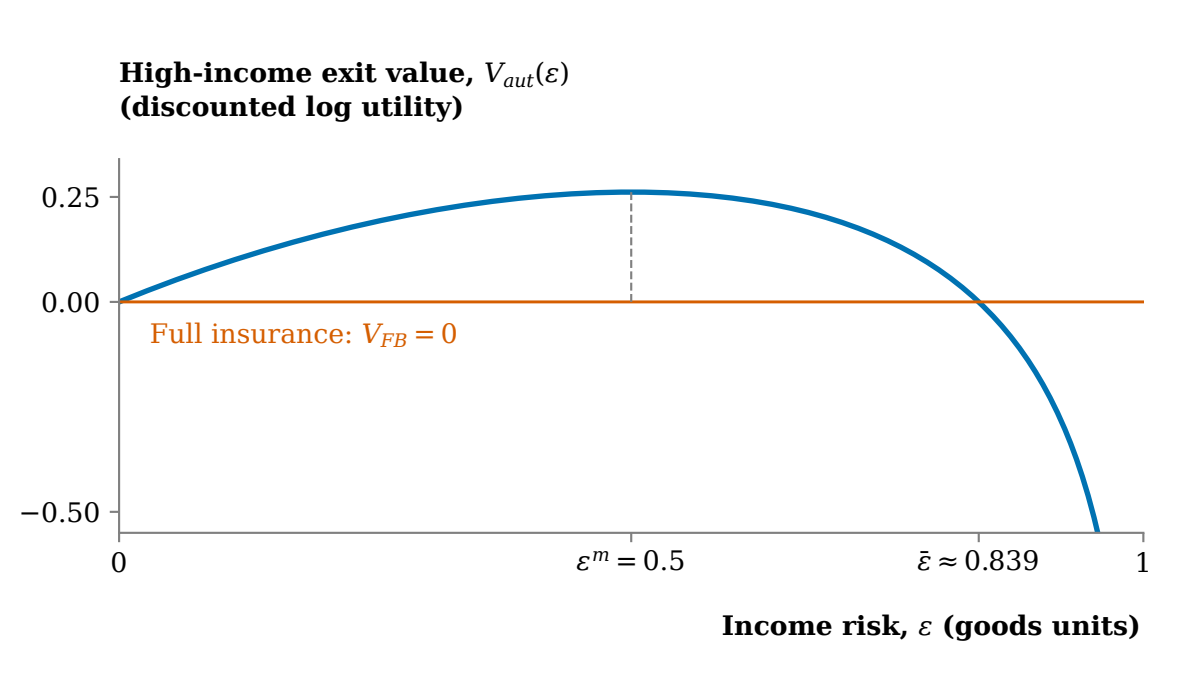
High-income exit value, $V_{aut}(\varepsilon)$
(discounted log utility)
0.25
0.00
−0.50
Full insurance: $V_{FB} = 0$
0
$\varepsilon^m = 0.5$
$\bar{\varepsilon} \approx 0.839$
1
Income risk, ε (goods units)